The Coronation of the Dollar

How Bretton Woods Built the Modern Monetary Order

A Conference Held While the World Burned

On the first of July 1944, while Allied soldiers were still dying on the beaches of Normandy and the skies over Europe were thick with bombers, 730 men in suits checked into a mountain resort in New Hampshire. They had not come to plan a battle. They had come to divide up the future of the world's money. Delegates from forty-four nations made their way through the White Mountains to the Mount Washington Hotel — a grand, white-columned building that had been shuttered for two years and hastily reopened, with too few beds, unreliable hot water, and Boy Scouts pressed into service to pass microphones between the speakers.

The shabby logistics were beside the point. Over the next three weeks, the men inside that hotel would decide which currency ruled the planet, which nation held the levers of global finance, and how the economic scaffolding of the post-war world would be assembled. They believed, with genuine conviction, that the task of preventing a third world war rested not with the generals or the diplomats, but with them — the economists, the Treasury officials, the bankers, and the bureaucrats. In their reading of history, the catastrophes of the previous thirty years — the wars, the depressions, the famines, the rise of fascism — traced back to a single root: economic chaos. Bretton Woods was their attempt to ensure it never happened again.

But the gathering was not the gentlemanly act of cooperation that history sometimes remembers. It was a contest of power dressed in the language of diplomacy: a deliberate effort by the United States to dethrone the British pound, dismantle the financial architecture of the British Empire, and install the American dollar as the undisputed center of the global system. The weapon America wielded was not its army. It was its gold.

The World That Made Bretton Woods Necessary

To understand why the conference happened, you have to understand the wreckage that preceded it. For most of the nineteenth century and into the early twentieth, the world ran on the classical gold standard. The principle was simple to the point of elegance: every major currency was backed by a fixed weight of gold. A pound, a dollar, a franc, a mark — each could in theory be exchanged for a defined amount of metal.

This imposed a kind of automatic discipline. Governments could not simply print money at will, because every note had to be matched by gold in a vault. When a country imported more than it exported, gold flowed out to settle the difference; the shrinking money supply pushed prices down, which made the country's goods cheaper abroad, which eventually corrected the imbalance. The mechanism was self-righting, and for decades it more or less held.

The First World War shattered it. Wars cannot be financed within the limits of a gold reserve, so the combatant nations abandoned the standard almost at once and printed and borrowed on an enormous scale. Britain borrowed staggering sums from the United States; France borrowed from Britain; and when the guns fell silent, Europe was buried in debt with its currencies in disarray.

The 1920s brought a doomed attempt to glue the broken system back together. In 1925, Britain — with Winston Churchill as Chancellor — returned to gold at the pre-war parity, valuing the pound as though four years of total war had never happened. It was an act of monetary fantasy. British industry had aged, its export markets had been seized by American and Japanese rivals, and the overvalued pound priced British goods out of the world market. Exports collapsed, unemployment climbed, and the coal miners struck. Every nation that tried to restore the old parities faced the same punishment, because the system now demanded relentless deflation: falling wages, falling prices, austerity imposed on ordinary people in the name of monetary orthodoxy.

Then came 1929. The crash and the Great Depression finished off what the war had begun. Country after country fled the gold standard in a disorderly scramble — Britain in 1931, the United States in effect in 1933 when Roosevelt confiscated privately held gold and devalued the dollar, and the last holdouts of the so-called gold bloc by 1936. What replaced cooperation was economic warfare. Nations competitively devalued their currencies to make their exports cheaper, a strategy aptly named "beggar-thy-neighbor," because every devaluation that helped one country wounded its trading partners. A vicious wave of protectionism followed: the American Smoot-Hawley Tariff of 1930, retaliatory barriers everywhere else, and a collapse in world trade of roughly sixty-five percent between 1929 and 1932. The global economy splintered into hostile blocs.

> "*Get the economics wrong, and you don't just get a recession — you get another world*

war."

In that wreckage something monstrous grew. The Depression destroyed not only economies but faith in democracy itself, clearing the ground for fascism in Germany, militarism in Japan, and authoritarianism across much of Europe. People stripped of work, savings, and hope will listen to anyone who promises to restore their dignity. Hitler took power in 1933, the very year the world was tearing the gold standard apart and hiding behind tariff walls. The architects of Bretton Woods saw the connection plainly. Harry Dexter White, the chief American negotiator, warned that an absence of economic cooperation among the leading nations would breed economic warfare, and that economic warfare would be the prelude to military warfare on a still greater scale.

Two Men, Two Empires

The planning was dominated by two men who could hardly have been more different. On one side stood John Maynard Keynes, by 1944 perhaps the most famous economist who had ever lived. A Cambridge don of dazzling intellect, he had predicted with uncanny precision the disastrous consequences of the Treaty of Versailles in *The Economic Consequences of the Peace* (1919), and had reinvented the discipline with *The General Theory of Employment, Interest, and Money* (1936), essentially founding modern macroeconomics. Now sixty, his heart failing, he had agreed to lead the British delegation.

On the other side stood Harry Dexter White — everything Keynes was not. The son of Lithuanian Jewish immigrants raised in working-class Boston, he had clawed his way up through the American bureaucracy by force of will, earning a Harvard doctorate and rising to become the Treasury's chief international economist. He was unknown outside Washington, but inside it he was the man who got things done, trusted completely by Treasury Secretary Henry Morgenthau, who was in turn a confidant of President Roosevelt. When the White House wanted something on international monetary policy, the chain ran from Roosevelt to Morgenthau to White — and it was White who actually drew up the plans.

Both men shared the same diagnosis: the interwar disaster had happened because there were no rules, no system, no cooperation. Where they parted, bitterly, was over what the new framework should look like — and beneath that disagreement lay something larger than economic theory. It was a struggle between a declining empire and a rising one.

Keynes proposed an International Clearing Union, in effect a global central bank to manage trade balances, settled in a new international currency he called the *bancor*. The bancor would belong to no nation; it would be a neutral unit of account. Crucially, Keynes wanted to penalize surplus countries as well as deficit ones. A nation that hoarded bancors by exporting far more than it imported would face charges and pressure to spend and import more, so that the burden of adjustment fell on both the over-spenders and the over-savers. This was not academic cleverness — it was survival strategy. Britain was a debtor nation, drained of gold and deep in debt to the United States. Under any system that fell mainly on debtors, Britain would be crushed; Keynes needed one that forced creditors, chiefly America, to share the load.

White's plan reflected a very different reality. In 1944 the United States was not merely the largest economy but the largest creditor, holding roughly two-thirds of the world's monetary gold, its industrial base not just intact but vastly expanded by wartime production. White proposed a smaller, more controlled Stabilization Fund — the future IMF — into which countries would contribute currencies and gold, and which would lend to nations in temporary difficulty. But access came with conditions and oversight, and the system would be anchored not to a neutral bancor but to the United States dollar. The dollar would be convertible to gold at thirty-five dollars an ounce; every other currency would peg to the dollar. The dollar would be the sun, and all other currencies would orbit it.

Keynes saw all of this clearly, and he was trapped. Britain's gold was spent, its overseas investments liquidated to pay for weapons and food, its debts to America enormous. He could argue, charm, and dazzle, but he could not alter the fundamental fact: Britain needed American money to survive, and the man who set the terms was Harry Dexter White.

Three Weeks in the Mountains

The conference opened on the first of July, less than four weeks after D-Day. The remote setting was deliberate — isolation eased wartime security and kept lobbyists and journalists at bay. Treasury Secretary Morgenthau presided. The work split into three commissions: White chaired the one on the Monetary Fund, the institution that would write the rules of global money; Keynes chaired the one on the future World Bank, important but secondary; and Mexico's finance minister handled the rest. The division alone told the story. The Americans had won the structural battle before the first session began.

What followed was chaotic and at times farcical — committees meeting around the clock, delegates working through the night on coffee and whiskey, translation a constant struggle across forty-four delegations. The Soviets, present and considered essential to any durable peace, stated their positions and waited for everyone to come to them. But the real negotiation was between the Americans and the British, and it was brutal. Keynes fought for every concession he could win, and he won some:

the Fund's resources were raised from White's proposed five billion dollars to eight and a half billion, and a clause was added to address the problem of a currency becoming scarce in world trade — a provision aimed squarely at the only country likely to run persistent surpluses, America. But on the questions that truly mattered, Keynes lost. The bancor was dead. There would be no neutral currency. The dollar would reign, the Fund would run on American terms and American oversight, and America would hold the largest share of the votes.

Then, in the final hours, came one of the most consequential sleights of hand in economic history. As exhausted delegates rushed to finalize the text, White's team quietly altered a crucial phrase. Where the language had referred to gold as the anchor of the system, they inserted the words "gold and US dollars." The edit looked small; its meaning was vast. It enshrined the dollar as the formal equivalent of gold. Keynes later admitted that by the time the document was ready for signing, no one had read a clean copy all the way through — the British delegation, outmaneuvered and worn down, signed without fully grasping what they had agreed to. On the twenty-second of July 1944, the final act was signed. The International Monetary Fund was created, the institution that became the World Bank was established, and the Bretton Woods system was born.

What Had Actually Been Built

At its heart, Bretton Woods established a regime of fixed exchange rates. Every member pegged its currency to the dollar at a set rate — the yen at 360 to the dollar, the pound at 2.80 — adjustable only in cases of "fundamental disequilibrium" and only with the Fund's approval. The dollar in turn was convertible to gold at thirty-five dollars an ounce, but only for foreign governments and central banks, not ordinary citizens. In practice, the United States was on a gold standard and the rest of the world was on a dollar standard.

This handed the dollar an extraordinary status. Because every currency pegged to it and it alone redeemed for gold, the dollar became the world's reserve currency. Central banks accumulated dollars and US Treasury bonds rather than bullion; trade was invoiced in dollars; commodities were priced in dollars. The privilege was self-reinforcing: because everyone needed dollars to trade, demand for dollars never flagged, which meant the United States could run deficits — spending more abroad than it earned — without the discipline that would have punished any other country. If France ran a deficit it bled reserves and faced devaluation or austerity; if America ran one, it simply exported more dollars, and the world absorbed them because it had to. The dollar was as good as gold — in fact better, since dollar bonds paid interest and a bar of metal did not. The French would later call this America's "exorbitant privilege."

The IMF was the enforcer, monitoring exchange rates, lending to countries defending their pegs, and policing against the competitive devaluations that had wrecked the 1930s. But its loans carried conditions — austerity, structural reform — and because America held the largest vote, that discipline was, in effect, American discipline. The World Bank, meanwhile, was built to finance reconstruction and later development, lending for the roads, bridges, dams, and power plants that form the physical bones of an economy. Together the two institutions became the twin pillars of the post-war order.

It is worth pausing on the audacity of the timing. When the delegates signed, the Battle of the Bulge was five months away, Paris was still a month from liberation, the atomic bomb had not been tested, and millions had yet to die. Here was an agreement carving up the economic future before the military future had been decided. That was not naivety but calculation: whoever wrote the economic rules of the post-war world would hold power long after the last shot was fired.

Two Golden Decades, and a Hidden Flaw

The system did not become fully operational until 1958, when the major European currencies became convertible. For roughly a decade afterward it worked remarkably well. The 1950s and 1960s brought extraordinary growth across the Western world: Europe rebuilt through the Marshall Plan and the private capital that followed, Japan rose from devastation to industrial power, trade boomed, living standards climbed, and inflation stayed tame. Bretton Woods became synonymous with stability and prosperity.

But a fatal flaw had been building, identified as early as 1960 by the Belgian-American economist Robert Triffin. The world needed a steady supply of dollars to trade and to hold as reserves, and the only way to supply them was for the United States to run balance-of-payments deficits, pushing dollars out into the global economy. Yet the more dollars America exported, the more its liabilities to foreign governments grew — until those liabilities exceeded the gold in its vaults. At that point the promise to redeem dollars for gold at thirty-five an ounce became hollow, credible only so long as too few governments tried to use it. This was the Triffin dilemma: the very mechanism that kept the system supplied with dollars was the mechanism that would eventually destroy confidence in it.

That is precisely what happened. Through the 1950s and 1960s, persistent American deficits — driven by foreign aid, global military spending, and overseas investment — piled dollars up in foreign central banks until, by the mid-1960s, foreign dollar holdings exceeded US gold reserves. The math was inescapable: if everyone redeemed at once, the gold would run out. The

French were the first to call the bluff. Charles de Gaulle resented what he saw as American monetary imperialism, and his finance minister gave the "exorbitant privilege" phrase its lasting fame. France began systematically converting its dollars into physical gold, demanding delivery from the vaults of the Federal Reserve. West Germany, Spain, and Switzerland followed.

In 1961 the United States and seven European central banks formed the London Gold Pool, selling gold collectively to hold the price at thirty-five dollars. It was a patch over a widening crack. American spending on the Vietnam War and Lyndon Johnson's Great Society poured still more dollars out without matching taxes; inflation rose; the dollar's purchasing power eroded. In 1967 Britain was forced to devalue the pound by fourteen percent, and markets reasoned that if sterling could fall, so could the dollar. Speculative buying overwhelmed the gold market, and so much metal piled into the Bank of England's weighing room that the floor reportedly gave way under the weight. By March 1968 the Pool collapsed, replaced by a two-tier market — one official price for governments, a free-floating price for everyone else — an open admission that the thirty-five-dollar figure had become a fiction.

The Gold Window Closes

The end came on the fifteenth of August 1971. Facing rising inflation, a looming run on gold, and an economy strained by Vietnam, Richard Nixon gathered his advisers — among them Fed Chairman Arthur Burns, Treasury Secretary John Connally, and a young Paul Volcker — at Camp David. Over a single weekend, without consulting America's allies, notifying the IMF, or warning the world, the decision was made. On Sunday evening Nixon went on television to announce a wage and price freeze, a ten percent surcharge on imports, and — most consequentially — the suspension of the dollar's convertibility into gold. The gold window was slammed shut. Nixon called it temporary. It was never reopened. After twenty-seven years, the Bretton Woods system was dead.

What followed echoed, in some ways, the interwar chaos the system had been built to prevent. Currencies floated, exchange rates swung wildly, inflation surged, and the oil shocks of 1973 and 1979 deepened the crisis into a decade of stagflation — the supposedly impossible combination of high inflation and stagnant growth. And yet, strangely, the dollar did not fall. It emerged more dominant than before.

This was no accident but deliberate policy. In the mid-1970s the United States struck the arrangement that became known as the petrodollar deal: Saudi Arabia would price its oil exclusively in dollars, and in exchange would receive American military protection, recycling its oil revenues into US Treasury bonds. Other OPEC nations followed, and within a few years virtually all oil trade was denominated in dollars. Since every industrial economy needed oil, every industrial economy needed dollars. The golden anchor had been replaced by a black one. Then, in the early 1980s, Paul Volcker — now Fed chairman — raised interest rates toward twenty percent to break inflation. The recession was brutal and unemployment soared, but it worked: inflation was crushed, confidence in the dollar restored, and foreign capital flooded back. Unmoored from gold, the dollar floated freely and remained the world's dominant currency. It still is.

The Legacy and the Irony

More than eighty years on, the institutions Bretton Woods created still operate, praised for facilitating the post-war recovery and condemned for the austerity they have imposed on developing nations — reformed, challenged, and enduring. The fixed-rate system itself died in 1971, but the dollar supremacy it enthroned has proven far more durable than the system that created it.

> "*Monetary systems are not designed by economists. They are imposed by power.*"

And here lies the deepest irony. Bretton Woods was meant to prevent any single nation from wielding excessive monetary power — a cooperative framework for the common good. Keynes's vision, imperfect as it was, was genuinely international: shared burdens between surplus and deficit countries, no single currency dominant, the interests of the global economy placed above those of any one nation. What the world actually received was the opposite. Bretton Woods did not restrain American power; it formalized it, granting the United States a position no nation had held before or arguably has held since. The dollar became the world's reserve currency not because it was the best or fairest or most stable, but because in 1944 America had the gold, the guns, and the leverage to insist — and Britain was too weak to resist, Europe too ruined to object, the Soviet Union too suspicious to cooperate yet too important to exclude.

Keynes understood all of it. He fought from a position of absolute weakness, knowing the world he helped build was not the one he had envisioned, and he died less than two years later, his heart giving out at sixty-two. Harry Dexter White's end was stranger still: nominated as the first American director of the IMF, then dogged by allegations that he had passed information to Soviet intelligence, he resigned in 1947, denied before Congress in 1948 that he was a communist, and died of a heart attack three days after his testimony, at fifty-five. The man who had done more than anyone to place the dollar at the center of the world was buried under a cloud of suspicion.

Yet the system outlived them both. It outlived the Soviet Union, the gold standard meant to underpin it, and every prediction of its demise. The dollar crowned in 1944 is still king, though the crown sits on a very different head — no longer backed by gold, no longer part of any fixed regime, but resting on something more nebulous and more powerful: the depth of American capital markets, the inertia of global trade, and the willingness of the rest of the world to hold dollars.

Whether the arrangement is sustainable is the question Bretton Woods raises and has never fully answered. The system meant to be cooperative became the instrument of one nation's dominance; the currency meant to be anchored to gold now floats on faith; the institutions meant to prevent economic warfare have often been accused of waging it. The tension Keynes named in 1944 — between creditors and debtors, surplus and deficit, the few who hold the levers and the many who live with the consequences — has never been resolved, only managed, deferred, and papered over with each new arrangement. Every time a crisis erupts, someone calls for a new Bretton Woods, and every time, nothing comes of it. Because the truth the conference revealed is that monetary systems are not designed by economists but imposed by power. The country with the most gold, the most guns, and the most leverage writes the rules, and everyone else signs on the dotted line. That is the story of how the dollar became king — and it is a story that is far from over.

Adapted from the documentary narrative "Bretton Woods, 1944: The Deal That Made the Dollar King"